2026

(NEP—2020)

(4th Semester)

ECONOMICS (MAJOR/MINOR)

(Macroeconomics—II)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. The primary and unique functions of money are

(a) medium of exchange ( )

(b) convertibility into gold ( )

(c) standard of deferred payment ( )

(d) unit of account ( )

2. In the full-bodied money

(a) its face value equals its intrinsic value ( )

(b) its face value is more than its intrinsic value ( )

(c) its face value is less than its intrinsic value ( )

(d) None of the above ( )

3. Marshall's cash balance equation is expressed as

(a) $V = 1 / K$ ( ) *(b)* $K = M / PT$ ( )

(c) $P = M / KT$ ( ) *(d)* $M = kPY$ ( )

4. High-powered money is

(a) money produced by the Government of India ( )

(b) money created by commercial banks ( )

(c) currency with public plus cash reserves of banks ( )

(d) money produced by the RBI and held by the banks ( )

5. The open market operations aim at

(a) regulation of the use of credit ( )

(b) sale and purchase of government securities ( )

(c) determination of cash reserves of banks ( )

(d) switch operations ( )

6. The Reserve Bank of India (RBI) was established on

(a) 1st April, 1925 ( ) (b) 1st April, 1930 ( )

(c) 1st April, 1935 ( ) (d) 1st April, 1940 ( )

7. Stagflation implies a situation of

(a) high inflation and high unemployment ( )

(b) high inflation and low unemployment ( )

(c) low inflation and low unemployment ( )

(d) low inflation and high unemployment ( )

8. During the phases of recession of a trade cycle

(a) investment, income, employment and demand decline ( )

(b) investment falls but income rises ( )

(c) income, employment and investment rise ( )

(d) None of the above ( )

9. Which of the following relationships is not a direct cause of inflation?

(a) Increased government spending ( )

(b) Rise in wage rate ( )

(c) Decrease in money supply ( )

(d) Supply chain bottleneck ( )

10. Which of the following measures proves effective in reducing the rate of inflation?

(a) Decreased personal consumption ( )

(b) Increased taxation ( )

(c) Revaluation of currency ( )

(d) Devaluation of currency ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 15)

Write notes on *five* of the following, taking at least *one* from each Unit : 3×5=15

UNIT—I

1. Functions of Money

2. The IS-LM Model

UNIT—II

3. Cash Reserve Ratio

4. Statutory Liquidity Ratio

UNIT—III

5. Concept of Accelerator

6. Phases of Trade Cycle

UNIT—IV

7. Deflation and Reflation

8. Demand-pull Inflation

(SECTION : C—DESCRIPTIVE)

(*Marks* : 50)

Answer *five* questions, taking at least *one* from each Unit : 10×5=50

UNIT—I

1. Critically examine the Fisher's quantity theory of money.

2. What is paper currency standard? Discuss the merits and demerits of paper currency standard. 2+8=10

UNIT—II

3. Define commercial banks. Discuss the various functions of commercial banks. 2+8=10

4. What is Central Bank? Describe the various instruments used by the Central Bank to control credit. 2+8=10

UNIT—III

5. Critically explain Keynes' view on trade cycle.

6. What are the characteristics of trade cycle? Suggest the remedial measures to control cyclical fluctuations in the economy. 5+5=10

UNIT—IV

7. What is Phillips curve? Explain how Phillips curve relates the trade-off between unemployment and inflation in the economy. 5+5=10

8. Define inflation. Explain the effects of inflation in the economy. 2+8=10

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